

Outlook

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The pass/fail line may be hiding fragile approvals

Team,

Before this becomes another standing report, can we answer the real question?

Credit Risk wants to study borrowers approved close to affordability limits rather than compare only approvals and declines. The possible stories are that thin discretionary income predicts later stress, that verified expenses or income quality create the main uncertainty, or that product and term explain the outcome.

We looked at a version of this before. For the January 2021 review, please show what changed and whether the earlier conclusion still holds. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. The first extracts did not reconcile, which means source precedence and exclusions must be part of the answer.

Please prepare a short decision pack with no more than five slides and an attached evidence table. The output must help us decide whether policy buffers, verification or monitoring should change.

Data available: the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations.

Please state the limitation plainly: The analysis can observe recorded affordability inputs, not every household obligation or later income shock.

Thanks